

Market Research

Source-backed assessment of India's ride-service market to 2035
Demand, segments, platforms, economics and infrastructure

Key findings

\$2.5B → \$11.1B

India ride-hailing,
2025 → 2033 (GVR)

60.8%

of taxi trips are
intra-city (2025)

19.1%

CAGR of airport transfers,
fastest-growing purpose

22,753

operational public chargers
(OMCs, Mar 2026)

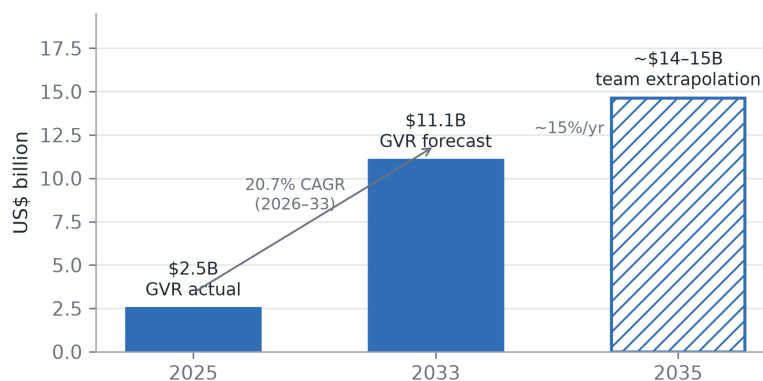
- **Demand is large and growing at ~20% a year.** Estimates vary 3–10× with the definition used, so we anchor on Grand View Research's ride-hailing series and extend it cautiously to 2035 (~US\$14–15B).
- **Volume is intra-city; margin is airport, corporate and inter-city.** Intra-city rides are 60.75% of trips, while airport transfers (19.14% CAGR) and corporate demand are the fastest-growing, higher-yield segments.
- **The fleet is still ~84% ICE, mostly CNG.** Electric taxis are the fastest-growing powertrain, and running-cost economics favour them at cab utilisation.
- **Platforms compete on price and driver take-home,** which pushes cost-per-km pressure onto fleets and drivers. The winning vehicle minimises ₹/km and maximises uptime.
- **Charging is the constraint, not demand.** Public charging is growing but thin, so fleets need depot charging and a CNG/CBG bridge where chargers are scarce.

1 · Market size and growth

Published estimates differ because firms measure different things (platform revenue, gross bookings, or the whole taxi economy). We therefore show the range and use one consistent series for our projection.

Source	Scope	Base	Projection	CAGR
Grand View Research	India ride-hailing services	US\$2.51B (2025)	US\$11.06B (2033)	20.7% (2026–33)
Mordor Intelligence	India taxi market (all bookings)	US\$13.75B (2026)	US\$31.38B (2031)	17.9%
Knowledge Sourcing	India e-hailing	US\$2.78B (2025)	US\$4.92B (2030)	12.1%
Markets and Data	India ride-hailing	US\$0.95B (FY24)	US\$3.77B (FY32)	18.8%
Team projection	Ride-hailing (GVR series)	US\$11.06B (2033)	~US\$14.6B (2035)	~15% after 2033

Team projection: $11.06 \times 1.15^2 = 14.6$. We assume growth slows from ~20% to ~15% a year after 2033 as the market matures; this is our extrapolation, not a published forecast.



India ride-hailing market size. Sources: Grand View Research (2025 actual, 2033 forecast); team extrapolation for 2035.

2 · Segment mix: where the volume and the margin sit

Dimension (Mordor Intelligence, 2025)	Share / growth	What it means for the vehicle
Trip purpose: intra-city	60.75% of trips	Volume base: lowest ₹/km and easy kerb-side entry matter most
Trip purpose: airport transfers	19.14% CAGR, fastest-growing	Margin pool: boot space, comfort and reliability
Booking channel: online	70.84% of market	Platforms control demand, so aggregator APIs are essential
Service type: ride-hailing	65.10% of market	Ride-hailing duty cycles (200-250 km/day) set the spec
Vehicle type: passenger cars	57.25% of market	Cars remain the core, even as bike taxis grow (18.45% CAGR)
Powertrain: ICE	83.72% of fleets	Large replacement pool; electric taxis growing at 19.36% CAGR
End user: individuals / corporate	75.98% individuals; corporate ~18.8% CAGR	Corporate shuttles justify the 7-seat mode

Use case	Evidence	Role	Tour-e mission
Intra-city on-demand	60.75% of trips	VOLUME	City · 5 seats
Daily commute / corporate	Corporate demand ~18.8% CAGR	STEADY DEMAND	Shuttle · 7-seat pooled
Airport transfers	19.14% CAGR	MARGIN	5 seats + ~400 L boot
Inter-city	Higher fare per trip; corridor charging building out	MARGIN	Tour-e Long; CNG off-corridor
Shared / premium / accessible	Premium and WAV demand under-served	NICHE MARGIN	7-seat · premium trim · WAV

3 · Platforms and fleet operators

- **Platform competition:** Uber leads India's four-wheeler cab market, and its CEO has named Rapido, not Ola, as its main competitor (Outlook Business, Aug 2025). Rapido's zero-commission subscription model and Namma Yatri's open protocol shift economics towards drivers, which raises the value of a low ₹/km vehicle.
- **EV commitments:** Uber signed an MoU with Tata Motors for 25,000 Xpres-T EVs for its fleet partners, described as the largest EV commitment between an automaker and a ride-hailing platform in India (Autocar India).

- **Lesson from BluSmart:** the all-EV, asset-heavy operator suspended services in April 2025 after SEBI's interim order against its lessor Gensol. The failure was governance and financing, not the technology. Successors such as Evera Cabs and Refex Green Mobility continue to run EV fleets.
- **Implication:** Tour-e should be sold to many operators and owner-drivers through NBFC-funded BaaS and open aggregator APIs, not tied to one fleet or one platform.

4 · The incumbent vehicles

Fact	Value	Source
Ertiga sales, FY2025	190,974 units (+27% YoY); India's No.1 MPV	Autocar Professional
Maruti Tour range (H1, H3, S, M, V)	5 lakh+ cumulative sales	Maruti Suzuki (Feb 2024)
Dzire share of sedan sales, Aug 2026	56% (18,418 of 32,913)	Cartoq
Ertiga Tour M CNG ex-showroom (post GST 2.0)	₹10.74 lakh	Maruti price list via Autocar India
Ertiga CNG claimed efficiency	26.11 km/kg	Rushlane
Tata Xpres-T (fleet EV sedan)	26 kWh / 315 km (ARAI)	Tata Motors / 91Wheels
Maruti e VITARA	₹10.99 L + ₹3.99/km BaaS; 5★ Bharat NCAP	Maruti Suzuki; Bharat NCAP

Ertiga buyers already accept the MPV shape and Maruti's service reach. Tour-e keeps the shape and adds an electric floor, a sliding door and fleet-grade durability.

5 · EV taxi economics

- **CEEW (2025)** finds electric vehicles the cheapest taxi option to own, with CNG the next cheapest: running costs dominate taxi TCO.
- **CNG has become more expensive:** Delhi CNG rose to ₹86.98/kg from 29 August 2026 after rising LNG costs (Outlook Business). Our model uses ₹85/kg, which slightly favours CNG.
- **Battery prices keep falling:** BNEF's 2025 survey puts average pack prices at US\$108/kWh globally, US\$84/kWh in China and US\$81/kWh for LFP.
- **Tax gap:** since 22 September 2025, EVs pay 5% GST while petrol and CNG cars longer than 4 m or above 1,200 cc (including the Ertiga) pay 40%.
- **Result:** our model gives ₹7.9/km for Tour-e + BaaS against ₹10.1/km for the Ertiga Tour M CNG at 60,000 km/yr (see 02_TCO_Model.xlsx).

6 · Charging and refuelling infrastructure

Indicator	Value	Source
Public EV charging stations installed by OMCs (FY21-FY26)	27,737	Ministry of Heavy Industries, Rajya Sabha reply, Mar 2026
Of which operational (1 Mar 2026)	22,753	Ministry of Heavy Industries, Rajya Sabha reply, Mar 2026
PM E-DRIVE four-wheeler fast-charger target	22,100 chargers (~₹2,000 crore)	PM E-DRIVE scheme (₹10,900 crore, extended to Mar 2028)
Purchase subsidy for e-cars / e-taxis under PM E-DRIVE	None	PM E-DRIVE scheme guidelines
CNG stations target	~18,000 by 2030	MoPNG (The Tribune)
CNG stations target (PNGRB)	18,336 by 2034	PNGRB (Business Standard)

Public charging is growing, but ride-service EVs cannot rely on it alone. Our plan puts ~80% of charging at fleet depots overnight and uses public DC for top-ups. Where depot charging is not yet possible, operators keep the CNG/CBG Ertiga Tour M. Maruti's board approved ₹561 crore for four biogas plants,

part of the Japan-India cooperative biogas initiative, which supports renewable gas for that bridge.

7 · Global precedents

Precedent	What it shows	Transfer to Tour-e
Toyota JPN Taxi (Japan)	4.40 m purpose-built taxi; 720 mm powered kerb-side sliding door; 401 L boot	Body length, door layout (left-hand traffic like India)
Kia PV5 Taxi (Korea)	Purpose-built EV taxi, sliding doors, integrated ride-hailing display; Seoul plans it as a universal-design taxi	Purpose-built EV, aggregator-integrated cockpit, WAV variant
China LFP scale	Lowest pack prices (US\$84/kWh average) via LFP and scale	LFP chemistry; dual-sourced cells; localisation
Retail e VITARA BaaS (India)	₹3.99/km battery rental at ~22,000 km/yr	Fleet BaaS at ₹2.0/km spreads the pack over ~2.7× the km

8 · What the evidence implies for Tour-e

- Design for the **intra-city volume** segment, with the space and luggage room to earn **airport and corporate** margins.
- Use the **Ertiga-class MPV shape** the market already buys, with a flat EV floor and a kerb-side sliding door.
- Make **₹/km and uptime** the design targets: a right-sized LFP pack, depot charging and fleet BaaS.
- Keep a **CNG/CBG bridge** and a **long-range variant** until charging reaches Tier-2 cities and inter-city corridors.
- Integrate with **every platform** through open APIs rather than depending on one aggregator or operator.

Figures quoted from third-party reports are cited as published. Full references with links: 06_Sources_and_References.pdf.